

Japan Technology: IT Services: NC company results read-across (3) Cybersecurity: Techmatrix, Digital Arts

In this report, we consider the implications for our IT services sector coverage from visits we made to two Not Covered companies, security vendors **Techmatrix (network security/in-car software verification tools/medical cloud)** and **Digital Arts (network security/Web filtering software)**. **Techmatrix's** new consolidation of Medmain, which provides AI software and cloud services for pathological diagnosis support, resulted in its FY3/27 operating profit guidance being set below the target in the medium-term plan, and once the amortization of its intangible fixed assets is finalized, the company expects the consolidation to depress near-term earnings. While security in the information infrastructure business continues to perform well, other businesses continue to be a drag on earnings. For **Digital Arts**, the competitive environment for GIGA school software has intensified sharply, leading to a decline in market share, and its FY3/27 operating profit guidance is well below the target in the medium-term plan. While earnings continue to lag targets, the company is also seeing tailwinds such as expanding demand ahead of the security measures evaluation system that the Ministry of Economy, Trade and Industry (METI) plans to introduce.

In terms of read-across, security-related demand is robust overall, which is a tailwind for the domestic earnings of Trend Micro (Neutral), which is strong in this field. Additionally, increased investment spurred by the security measures evaluation system should also be a positive for the earnings of Otsuka (Sell), which handles related products. Below we outline our key takeaways from company commentary. (See earnings tables at [Exhibit 2/Exhibit 3/Exhibit 4.](#))

Techmatrix (3762.T) (network security/medical)

- (1) **Guidance:** FY3/27 operating profit guidance calls for ¥8.2 bn (+6% yoy), below the target in the medium-term plan (¥8.6 bn). This is largely due to the new consolidation of Medmain, which provides AI software and cloud services for pathological diagnosis support (planned for consolidation from 1Q, with Techmatrix expecting this to depress operating profits by -¥0.4 bn). By segment, the company looks for a +10% yoy increase in operating profits in the information infrastructure business (security), where demand is strong. The struggling application services business is guided to improve by +¥0.35 bn yoy and return to profitability. The medical systems business, which will be impacted by Medmain's consolidation, is forecast to see a -43% yoy decline in profits. The company assumes one-off factors will depress profits by just over ¥100 mn yoy

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on net, namely the drop-out of impacts from a sales booking omission (which boosted 4Q3/26 operating profits by +¥166 mn in information infrastructure) and a revision of retirement benefit expenses (-¥50 mn impact in 4Q3/26). Additionally, losses are guided to narrow by a few hundred million yen in the Ed Tech business (systems for schools and the education industry), but the company forecasts it will remain in the red for now (and turn an operating profit in the latter half of the next medium-term plan).

- **(2) Information infrastructure business:** 4Q3/26 operating profits rose by +48% yoy, and by +35% yoy on an underlying basis excluding the one-off factor of the sales booking omission. Growth has been driven by next-generation firewalls from US-based Palo Alto Networks, SOC (Security Operation Center) automation solutions, and mail security products from US-based Proofpoint (4Q order value rose +10% yoy; [Exhibit 1](#)). In addition, management noted the standalone recurring sales ratio (in FY3/26) was 88%, enhancing earnings stability. FY3/27 operating profit guidance is for ¥7.24 bn (solid growth of +10% yoy). As the company's main products are mostly cloud-based, it is less susceptible to the impact of rising memory prices and longer parts procurement lead times. Storage products, which could be affected, account for a minor portion of sales in this business (less than 3%), and management said there has been no impact so far.
- **(3) Medical systems business:** FY3/27 operating profit guidance is for ¥0.76 bn (-43%/-¥0.57 bn yoy). The main reasons for the anticipated decline are the impact of the new consolidation of Medmain (a profit drag of c.¥0.4 bn), a temporary decrease in sales due to the shift from on-premise to cloud systems, and an increase in development investment for cloud services. According to the company, (a) Medmain is in an upfront investment phase and will probably take about five years to turn a profit, and (b) as PPA has not been completed, the amortization expense for intangible fixed assets has not been finalized (it is not included in guidance, and will be a downside factor for targets once finalized).

Exhibit 1: Firewalls, mail security, and software quality assurance driving growth

Technatrix: Information infrastructure and application services businesses: Sales growth by product (yoy; cumulative basis)

Sales growth rate (y-y)	25/3				26/3			
	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
<Information Infrastructure Business>								
Load balancers	5%~10%	5%~10%	>10%	>10%	>10%	>10%	5%~10%	-5%~+5%
Next-Generation Firewall etc	>10%	>10%	>10%	>10%	>10%	5%~10%	>10%	>10%
Antivirus etc	-5%~+5%	-5%~+5%	-5%~+5%	-5%~+5%	>10%	>10%	>10%	>10%
Storage products	-5%~10%	>10%	>10%	5%~10%	>10%	<-10%	<-10%	<-10%
Security-related operation & monitoring	>10%	>10%	>10%	5%~10%	<-10%	<-10%	-5%~10%	-5%~+5%
Next-Generation Mail security	>10%	>10%	>10%	>10%	>10%	>10%	>10%	>10%
<Application Service Business>								
Business Solution field	>10%	>10%	-5%~+5%	-5%~+5%	-5%~10%	-5%~10%	-5%~+5%	5%~10%
Software Quality Assurance field	>10%	>10%	>10%	>10%	5%~10%	>10%	>10%	>10%
CRM field	>10%	>10%	>10%	>10%	5%~10%	5%~10%	5%~10%	-5%~+5%
EdTech field	>10%	>10%	>10%	>10%	5%~10%	>10%	>10%	>10%

Source: Company data, Data compiled by Goldman Sachs Global Investment Research

Digital Arts (2326.T) (network security)

- **(1) Results:** FY3/26 operating profits came to ¥4.79 bn (+5% yoy), substantially missing guidance (¥5.61 bn). The main reasons cited were a decline in share for GIGA

school projects amid intensified price competition with rivals, a reduction in the size of public sector projects due to changes in procurement policy (from multi-year to single-year contracts), and a delay in sales recognition due to an increasing cloud ratio. According to management, all of these factors are ongoing.

- (2) **Guidance:** FY3/27 operating profit guidance is for ¥5.4 bn (+13% yoy), which is well below the target in the medium-term plan (¥7.8 bn). The main reasons are the same as for the underperformance in FY3/26. On a yoy basis, although communication costs (AWS server fees) are expected to increase with the rising cloud ratio, the company expects double-digit % profit growth due to greater demand for GIGA school and school DX projects, a full-year contribution from the new Z-FILTER product, and operational efficiencies from AI.
- (3) **Public business:** Order value (contract value) for GIGA school projects is on an upward trend, but it missed company expectations in 4Q3/26. Until 3Q, the company had a dominant market share due to its technological lead, but in 4Q, several competitors launched an offensive with prices at about half of the company's, resulting in a decline in cumulative market share from 95% (at end-3Q) to 70% (at end-4Q). Management said the cumulative market share assumption for end-FY3/27 is 70%, which is higher than the level in the first GIGA school phase (53%), and the company will need to acquire new customers. Digital Arts thinks competitors' price offensive may continue, so it also plans to propose slightly lower-than-usual prices to some customers.
- (4) **Enterprise business:** 4Q3/26 sales grew by just +1% yoy, hampered by a decline in on-premise sales. FY3/27 sales guidance is for a +10% yoy increase, with growth expected for the new Z-FILTER product. Z-FILTER has many more functions than i-FILTER (firewall/antivirus, etc.), and while the monthly unit price is set at 3-4x the previous level, it is cheaper than products from foreign vendors and is competitive. Per the company, the contract value pipeline is c.¥1 bn, mainly from existing customers, of which it expects ¥0.9 bn to be booked in FY3/27. While not factored into plans, the company noted that corporate security investment is highly likely to expand ahead of the security measures evaluation system that METI plans to introduce, and that this could become a tailwind for a range of its products.

Exhibit 2: Techmatrix (3762.T): Earnings by segment

(mn yen)				CoE	26/3			
Techmatrix (3762)	24/3	25/3	26/3	27/3E	Q1	Q2	Q3	Q4
Order	68,446	82,866	89,009		20,544	23,098	21,261	24,106
yoy	15.1%	21.1%	7.4%		-5.2%	7.5%	20.9%	8.9%
Order Backlog	68,566	88,155	105,431		92,836	98,420	102,073	105,431
yoy	30.8%	28.6%	19.6%		21.4%	21.7%	21.3%	19.6%
Sales	53,303	64,882	71,734	81,800	15,863	17,514	17,608	20,748
yoy	16.0%	21.7%	10.6%	14.0%	15.3%	2.6%	10.8%	14.3%
Gross Profit	18,203	20,555	22,575		4,931	5,562	5,562	6,521
yoy	11.2%	12.9%	9.8%		14.8%	5.3%	7.0%	12.9%
% of sales	34.1%	31.7%	31.7%		31.1%	31.8%	31.6%	31.4%
SGA	12,310	13,561	14,829		3,659	3,667	3,652	3,851
yoy	10.2%	10.2%	9.4%		14.6%	9.4%	6.6%	7.3%
% of sales	23.1%	20.9%	20.7%		23.1%	20.9%	20.7%	18.6%
Other sales	24	38	35		3	9	15	8
Other costs	67	363	21		0	3	2	15
Operating Profits	5,850	6,668	7,760	8,200	1,274	1,901	1,922	2,663
yoy	14.7%	14.0%	16.4%	5.7%	14.4%	-0.5%	8.1%	42.6%
% of sales	11.0%	10.3%	10.8%	10.0%	8.0%	10.9%	10.9%	12.8%
<Sales and OP by Segments>								
I Information Infrastructure Business								
Order	47,652	60,482	64,134		14,878	16,928	16,024	16,304
yoy	17.3%	26.9%	6.0%		-8.6%	3.6%	22.5%	10.3%
Order Backlog	49,861	66,366	78,880		69,746	73,943	77,153	78,880
yoy	34.0%	33.1%	18.9%		23.4%	22.4%	21.0%	18.9%
External Sales	35,006	45,586	51,620	59,500	11,498	12,731	12,814	14,577
yoy	19.5%	30.2%	13.2%	15.3%	19.7%	2.3%	12.6%	19.9%
% of sales	65.7%	70.3%	72.0%	72.7%	72.5%	72.7%	72.8%	70.3%
Operating Profits	3,973	5,274	6,580	7,240	1,257	1,670	1,715	1,938
yoy	28.6%	32.7%	24.8%	10.0%	33.6%	3.2%	21.9%	48.2%
% of sales	11.3%	11.5%	12.7%	12.2%	10.9%	13.1%	13.3%	13.2%
II Application Service Business								
Order	9,074	9,924	10,938		2,789	2,487	2,146	3,516
yoy	16.3%	9.4%	10.2%		5.6%	14.1%	15.5%	8.4%
Order Backlog	5,327	6,071	7,125		6,558	6,631	6,347	7,125
yoy	19.5%	14.0%	17.4%		11.8%	15.1%	16.8%	17.4%
External Sales	8,205	9,177	9,884	11,130	2,302	2,414	2,430	2,738
yoy	12.4%	11.8%	7.7%	12.6%	9.5%	5.7%	11.2%	5.0%
% of sales	15.4%	14.1%	13.8%	13.6%	14.5%	13.8%	13.8%	13.2%
Operating Profits	317	142	-148	200	-45	-9	-53	-42
yoy	22.4x	-55.4%	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.
% of sales	3.7%	1.5%	-1.5%	1.8%	-1.9%	-0.3%	-2.1%	-1.5%
III Medical Systems Business								
Order	11,719	12,459	13,936		2,876	3,685	3,090	4,285
yoy	6.3%	6.3%	11.9%		5.0%	23.7%	17.0%	4.5%
Order Backlog	13,377	15,717	19,425		16,531	17,846	18,572	19,425
yoy	24.6%	17.5%	23.6%		17.5%	21.5%	23.8%	23.6%
External Sales	10,092	10,119	10,229	11,170	2,062	2,370	2,364	3,433
yoy	8.0%	0.3%	1.1%	9.2%	0.4%	0.6%	1.7%	1.4%
% of sales	18.9%	15.6%	14.3%	13.7%	13.0%	13.5%	13.4%	16.5%
Operating Profits	1,560	1,253	1,329	760	63	239	260	767
yoy	-21.8%	-19.7%	6.1%	-42.8%	-42.7%	22.5%	7.6%	8.5%
% of sales	15.5%	12.4%	8.8%	9.6%	3.0%	10.1%	11.0%	22.3%

Operating profits by business include internal transactions

Source: Company data, Data compiled by Goldman Sachs Global Investment Research

Exhibit 3: Digital Arts (2326.T): Earnings by segment

(mn yen)				CoE	26/3			
Digital Arts (2326)	24/3	25/3	26/3	27/3E	Q1	Q2	Q3	Q4
Contracts	10,838	10,570	16,604	13,500	2,306	4,323	4,246	5,729
yoy	6.4%	-2.5%	57.1%	-18.7%	15.7%	71.3%	81.3%	54.3%
yoy excl. effects of DAC deconsolidation		22.3%	-					
License Products and Others	7,479	5,373	5,192		927	1,313	1,451	1,501
yoy	10.1%	-28.2%	-3.4%		-14.6%	-10.1%	17.7%	-5.8%
Cloud Service Products	3,359	5,197	11,412		1,379	3,009	2,795	4,229
yoy	-1.1%	54.7%	119.6%		52.2%	183.1%	152.0%	99.6%
Order Backlog	5,651	6,243	12,006		6,279	7,903	9,286	12,006
yoy	-10.6%	10.5%	92.3%		16.1%	48.1%	77.1%	92.3%
Sales	11,512	9,982	10,835	12,000	2,270	2,722	2,843	3,000
yoy	10.3%	-13.3%	8.5%	10.8%	1.6%	4.5%	16.7%	10.8%
yoy excl. effects of DAC deconsolidation		7.1%	-	-				
Gross Profit	6,928	7,033	7,500	8,176	1,531	1,902	1,964	2,103
yoy	2.3%	1.5%	6.6%	9.0%	1.5%	3.0%	16.2%	5.8%
% of sales	60.2%	70.5%	69.2%	68.1%	67.4%	69.9%	69.1%	70.1%
SGA	2,500	2,474	2,708	2,776	735	676	643	654
yoy	6.1%	-1.0%	9.5%	2.5%	9.9%	6.8%	7.5%	13.9%
% of sales	21.7%	24.8%	25.0%	23.1%	32.4%	24.8%	22.6%	21.8%
Operating Profits	4,427	4,558	4,791	5,400	795	1,226	1,321	1,449
yoy	0.3%	3.0%	5.1%	12.7%	-5.1%	1.0%	20.9%	2.5%
% of sales	38.5%	45.7%	44.2%	45.0%	35.0%	45.0%	46.5%	48.3%
<Sales and OP by Segments>								
Enterprise								
Contracts	6,659	5,016	5,564		1,044	1,252	1,500	1,768
yoy	22.1%	-24.7%	10.9%		5.0%	3.6%	28.9%	7.2%
yoy excl. effects of DAC deconsolidation		15.0%	-					
Sales	6,456	4,783	5,176	5,691	1,169	1,263	1,362	1,382
yoy	21.4%	-25.9%	8.2%	9.9%	8.8%	5.3%	19.8%	0.7%
yoy excl. effects of DAC deconsolidation		12.3%	-	-				
% of sales	56.1%	47.9%	47.8%	47.4%	51.5%	46.4%	47.9%	46.1%
Public								
Contracts	3,760	5,146	10,639		1,160	2,966	2,649	3,864
yoy	-12.6%	36.9%	106.7%		29.6%	144.1%	146.6%	96.9%
Sales	4,637	4,788	5,256	5,905	999	1,354	1,381	1,522
yoy	-1.0%	3.3%	9.8%	12.3%	-6.3%	4.6%	15.7%	23.4%
% of sales	40.3%	48.0%	48.5%	49.2%	44.0%	49.7%	48.6%	50.7%
Consumer								
Contracts	418	408	400		101	104	99	96
yoy	-3.5%	-2.4%	-2.0%		-1.0%	4.0%	-4.8%	-5.9%
Sales	418	409	402	402	101	106	98	97
yoy	-3.5%	-2.2%	-1.7%	0.0%	8.6%	-2.8%	-6.7%	-4.9%
% of sales	3.6%	4.1%	3.7%	3.4%	4.4%	3.9%	3.4%	3.2%

Consulting subsidiary DAC was eliminated from the scope of consolidation from 1 Q3/25, impacting contract value and sales, but with a minor impact on profits.

Source: Company data, Data compiled by Goldman Sachs Global Investment Research

Exhibit 4: IT services sector earnings outlook

Company		Results (FY ended March)		GSE			CoE	CY25		CY26	
		25/3	26/3	27/3	28/3	29/3	27/3	1-3	4-6	7-9	10-12
[Mid-sized System Integrators]											
2327 NS Solutions (NSSOL)	Sales	338,301	381,340	416,000	431,000	453,000	417,000	98,007	82,684	95,691	97,020
	%y-y	8.9%	12.7%	9.1%	3.6%	5.1%	9.4%	8.3%	7.6%	19.9%	15.9%
	OP	38,497	44,242	47,500	50,000	54,000	47,500	8,910	8,485	9,787	12,718
	%y-y	10.0%	14.9%	7.4%	5.3%	8.0%	7.4%	-23.9%	-3.7%	5.1%	11.0%
3626 TIS	OP margin	11.4%	11.6%	11.4%	11.6%	11.9%	11.4%	9.1%	10.3%	10.2%	13.1%
	Sales	571,687	596,479	622,500	642,500	658,500	620,000	155,126	140,316	148,209	147,726
	%y-y	4.1%	4.3%	4.4%	3.2%	2.5%	3.9%	7.5%	4.7%	4.7%	4.8%
	OP	69,047	76,229	81,500	86,000	89,300	81,000	20,163	16,353	19,200	19,250
4307 Nomura Research Institute (NRI)	%y-y	6.9%	10.4%	6.9%	5.5%	3.8%	6.3%	18.7%	16.3%	16.7%	4.8%
	OP margin	12.1%	12.8%	13.1%	13.4%	13.6%	13.1%	13.0%	11.7%	13.0%	13.0%
	Sales	764,813	814,708	854,200	897,200	941,400	850,000	196,567	195,770	201,295	205,268
	%y-y	3.8%	6.5%	4.8%	5.0%	4.9%	4.3%	5.4%	4.1%	6.7%	7.2%
4684 Obic	OP	134,907	58,273	178,000	198,000	219,000	175,000	32,554	37,246	41,553	39,981
	%y-y	12.0%	-56.8%	205.5%	11.2%	10.6%	200.3%	11.6%	14.1%	26.0%	8.9%
	OP margin	17.6%	7.2%	20.8%	22.1%	23.3%	20.6%	16.6%	19.0%	20.6%	19.5%
											-28.5%
4733 Obic Business Consultants (OBC)	Sales	121,240	135,209	149,000	161,800	174,000	148,700	31,517	32,431	33,353	34,329
	%y-y	8.6%	11.5%	10.2%	8.6%	7.5%	10.0%	12.5%	12.7%	12.4%	11.4%
	OP	78,378	88,823	99,300	108,800	118,000	98,000	19,812	21,479	22,176	22,610
	%y-y	10.5%	13.3%	11.8%	9.6%	8.5%	10.3%	13.8%	15.2%	11.0%	13.4%
8056 BIPROGY (ex Nihon Unisys)	OP margin	64.6%	65.7%	66.6%	67.2%	67.8%	65.9%	62.9%	66.2%	66.5%	65.9%
	Sales	46,984	51,401	57,650	64,300	71,670	57,500	12,220	12,151	12,781	12,946
	%y-y	12.0%	9.4%	12.2%	11.5%	11.5%	11.9%	6.1%	8.2%	11.0%	7.7%
	OP	21,744	23,581	26,800	31,000	35,800	26,500	5,833	5,570	5,590	6,110
6501 Hitachi Digital Systems & Services (DSS)	%y-y	16.0%	8.4%	13.7%	15.7%	15.5%	12.4%	6.3%	7.5%	13.4%	5.3%
	OP margin	46.3%	45.9%	46.5%	48.2%	50.0%	46.1%	47.7%	45.8%	43.7%	47.2%
	Sales	404,010	433,686	484,500	516,200	546,900	470,000	124,745	96,844	108,288	101,712
	%y-y	9.2%	7.3%	11.7%	6.5%	5.9%	8.4%	12.1%	9.6%	10.9%	9.1%
6701 NEC	OP	39,066	42,604	48,400	54,600	60,800	48,400	13,900	8,569	12,781	8,998
	%y-y	17.4%	9.1%	13.6%	12.8%	11.4%	13.6%	51.9%	30.3%	12.4%	24.6%
	OP margin	9.7%	9.8%	10.0%	10.6%	11.1%	10.3%	11.1%	8.8%	11.8%	8.8%
											9.7%
[Large System Integrators]											
6501 Hitachi Digital Systems & Services (DSS)	Sales	2,832,584	2,940,000	3,291,900	3,579,000	3,890,100	3,190,000	823,300	617,400	708,800	714,900
	%y-y	9.0%	3.8%	12.0%	8.7%	8.7%	8.5%	6.2%	-2.6%	4.5%	2.6%
	Adjusted OP	374,700	430,000	477,100	524,700	572,900	480,000	124,400	61,800	105,200	116,875
	%y-y	20.6%	14.8%	11.0%	10.0%	9.2%	11.6%	19.2%	-16.1%	22.9%	28.6%
6701 NEC	OP margin	13.2%	14.6%	14.5%	14.7%	14.7%	15.0%	15.1%	10.0%	14.8%	16.3%
	Sales	3,423,431	3,582,733	3,596,000	3,755,000	3,916,000	3,500,000	1,101,622	715,658	854,121	858,000
	%y-y	-1.5%	4.7%	0.4%	4.4%	4.3%	-2.3%	1.6%	3.7%	7.3%	2.7%
	OP	256,497	359,913	419,000	467,000	518,000		130,331	35,389	83,181	66,591
6702 Fujitsu	%y-y	36.4%	40.3%	16.4%	11.5%	10.9%		10.3%	679.5%	107.2%	-18.3%
	OP margin	7.5%	10.0%	11.7%	12.4%	13.2%		11.8%	4.9%	9.7%	7.8%
	Non-GAAP OP	311,301	397,234	443,000	490,000	540,000	420,000	148,966	39,995	87,494	82,382
	%y-y	36.8%	27.6%	11.5%	10.6%	10.2%	5.7%	16.2%	145.4%	80.2%	-15.5%
6702 Fujitsu	OP margin	9.1%	11.1%	12.3%	13.0%	13.8%	12.0%	13.5%	5.6%	10.2%	9.6%
	Sales	3,550,116	3,502,971	3,484,000	3,667,000	3,849,000	3,510,000	1,142,134	749,859	816,683	884,642
	%y-y	2.1%	-1.3%	-0.5%	5.3%	5.0%	0.2%	9.6%	-1.2%	3.0%	3.4%
	OP	265,089	348,329	415,000	483,000	552,000	415,000	159,200	33,486	71,859	105,656
NTT Data (Global Solution segment in NTT)	%y-y	77.5%	31.4%	19.1%	16.4%	14.3%	19.1%	37.8%	133.7%	150.7%	68.2%
	OP margin	7.5%	9.9%	11.9%	13.2%	14.3%	11.8%	13.9%	4.5%	8.8%	11.9%
	Adjusted OP	307,265	390,589	425,000	493,000	562,000	425,000	170,184	35,119	86,208	107,836
	%y-y	15.8%	27.1%	8.8%	16.0%	14.0%	8.8%	6.9%	111.9%	74.1%	51.9%
NTT Data (Global Solution segment in NTT)	OP margin	8.7%	11.2%	12.2%	13.4%	14.6%	12.1%	14.9%	4.7%	10.6%	12.2%
	Sales	4,638,721	5,004,614	5,206,000	5,451,000	5,682,000	5,190,000	1,230,965	1,104,369	1,256,098	1,283,336
	%y-y	6.2%	7.9%	4.0%	4.7%	4.2%	3.7%	3.3%	-0.7%	11.4%	9.9%
	OP	323,862	488,211	470,000	530,000	590,000	470,000	87,881	57,786	211,192	115,225
NTT Data (Global Solution segment in NTT)	%y-y	4.6%	50.7%	-3.7%	12.8%	11.3%	-3.7%	-21.9%	-1.4%	133.7%	32.5%
	OP margin	7.0%	9.8%	9.0%	9.7%	10.4%	9.1%	7.1%	5.2%	16.8%	9.0%
	Gain on sales of DC		129,500	70,000	70,000	70,000	70,000			129,500	
	OP (excl. gain on sales of DC)		358,711	400,000	460,000	520,000	400,000			81,692	
4704 Trend Micro	%y-y	10.8%		11.5%	15.0%	13.0%	11.5%			-9.6%	
	OP margin		7.0%	7.6%	8.3%	9.0%	7.5%			6.5%	
	Sales	272,638	275,984	300,000	312,500	325,600	301,500	67,501	66,408	68,844	73,231
	%y-y	9.6%	1.2%	8.7%	4.2%	4.2%	9.2%	2.4%	-3.2%	1.1%	4.6%
4768 Otsuka	OP	48,105	57,777	55,000	58,000	61,200	56,400	15,006	13,466	16,002	13,303
	%y-y	47.6%	20.1%	-4.8%	5.5%	5.5%	-2.4%	23.7%	9.4%	8.1%	50.0%
	OP margin	17.6%	20.9%	18.3%	18.6%	18.8%	18.7%	22.2%	20.3%	23.2%	18.2%
											21.1%
4704 Trend Micro	Sales	1,107,668	1,322,791	1,348,800	1,391,200	1,451,600	1,311,000	315,541	379,591	310,587	317,072
	%y-y	13.3%	19.4%	2.0%	3.1%	4.3%	-0.9%	18.3%	25.3%	23.0%	11.1%
	OP	74,360	89,943	88,000	93,000	99,000	90,000	21,175	27,998	17,356	23,414
	%y-y	18.1%	21.0%	-2.2%	5.7%	6.5%	0.1%	22.8%	29.6%	30.2%	5.5%
4478 freee	OP margin	6.7%	6.8%	6.5%	6.7%	6.8%	6.9%	6.7%	7.4%	5.6%	7.4%
	Sales	25,431	33,271	42,260	50,880	60,100	41,930	8,600	9,420	9,744	10,198
	%y-y	32.3%	30.8%	27.0%	20.4%	18.1%	26.0%	29.3%	34.4%	32.1%	29.5%
	OP	-8,387	611	1,040	3,300	6,000		316	-573	272	260
4478 freee	%y-y	N.M.	N.M.	70.2%	217.3%	81.8%		N.M.	N.M.	27.2%	-60.3%
	OP margin	-33.0%	1.8%	2.5%	6.5%	10.0%		3.7%	-6.1%	2.8%	2.5%
	Adjusted OP	-7,562	1,885	2,540	5,100	8,100	2,520	659	-230	690	662
	%y-y	N.M.	N.M.	34.7%	100.8%	58.8%	33.7%	N.M.	N.M.	43.8%	-32.2%
4478 freee	OP margin	-29.7%	5.7%	6.0%	10.0%	13.5%	6.0%	7.7%	-2.4%	7.1%	6.5%
											4.1%
											6.5%

NEC's non-GAAP operating profit/loss calculated as operating profits + amortization of intangible assets from acquisitions + one-off items such as restructuring costs. Fujitsu's adjusted operating profit/loss calculated as operating profits + one-off items such as restructuring costs. For reference, we have included adjusted operating profits for Hitachi's Digital System & Service business (equivalent to IT services) (covered by Ryo Harada, Japan Industrial Electronics).

Source: Company data, Goldman Sachs Global Investment Research

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